France and John Blunt's South Sea Company in Britain, the equity markets were whipped into a buying frenzy fueled largely by duplicity. Both the Mississippi Company and South Sea Company had convoluted structures and were heavily marketed as pursuits to establish a presence and exploit trade in the burgeoning Americas, even though they had only marginal success in doing so. Both Blunt and Law used elaborate and unproven financial engineering to advance the price of their companies' stocks at all costs.

Law's scheme was particularly intricate and dangerous, as it involved controlling France's first central bank, in addition to the Mississippi Company, which was the country's largest enterprise. Law won his way into a place of financial power in France with promises to resolve the country's financial woes, which were dire: the government was on the verge of its third bankruptcy in less than a century. Part of Law's scheme involved issuing shares in the Mississippi Company, the proceeds of which were then used to pay down the national debt. It depended on artificially inflating the share price of the Mississippi Company, of which he was also the largest shareholder. Such pressure and vast control allowed Law to manipulate shareholders into believing the company's prospects were great. The company was in charge of setting up colonies for trade in the Louisiana territory, which spanned the equivalent of nearly a quarter of the present-day United States, with New Orleans intended to be its centerpiece. To recruit colonists to develop the area and lay the foundation of trade that would lead to future profits for the company, he shared